TOPIC 3 · ECONOMIC ISSUES

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NAB profit falls as bad debts surge and 2,500 jobs go

> Australia's largest business lender reported a sharp fall in earnings and warned of an economic crunch. Its bad-debt charges almost doubled as more borrowers struggle with higher interest rates.

WHAT HAPPENED

- Net profit for the year to September fell 9.1% to $6.14b, short of the $6.45b analysts expected. Cash earnings fell 13%.
- The charge for bad and doubtful debts rose 86% to $1.55b.
- Shares fell about 7.5%, leaving NAB the smallest of the big four banks by market value.
- A restructure will cut up to 2,500 jobs by mid-2027. Some non-voluntary exits have been delayed until after Christmas.
- Bendigo Bank passed on the RBA's 0.25-point rise to variable home loans on the same day.

$6.14b
NAB net profit, down 9.1%

+86%
Rise in bad-debt charges, to $1.55b

2,500
Jobs to be cut by mid-2027

Credit impairment charge: money a bank sets aside for loans it expects won't be repaid

Transmission mechanism: how a cash rate change flows through to lending, spending and inflation

FLOW CHART

From rate rises to bank bad debts

RBA raises cash rate to 4.85% → Mortgage and business loan rates rise → Borrowers' repayments climb and spending slows → More loans fall behind → **Banks set aside more for bad debts and lend more cautiously**

Exam angle: Bad-debt provisions are a **leading indicator**. Banks raise them when they expect unemployment and business failures to rise. Tighter bank lending can then **amplify** a slowdown.

SYLLABUS LINK

Topic 3 – The economic cycle, unemployment and financial stress; Topic 4 – Monetary policy transmission through the banking system.

TRY THIS

1. Explain why rising bank bad-debt charges may signal a slowing economy. **(3 marks)**
2. Outline the role of commercial banks in transmitting a change in the cash rate. **(4 marks)**

Read more: abc.net.au/news – business live 5 Nov · sharecafe.com.au – Retailer David Jones enters administration amid economic warnings

Summary written in our own words for classroom use